WORD OF CAUTION

The profiling procedure for each major financial goal involves a lot of assumptions. We have estimated an amount for the goal to be met. We have then taken the 7-year category average to estimate future returns. We know that the actual returns may not be the same. Also, when we invest in assets, the value of the same may go up as well. It will be an emotionally and mentally painful journey. Moreover, unexpected life events will impact our plan.

The idea behind the Lazy Plan is to regulate the direction and steer the vehicle towards the goal. We cannot control the speed and distance. That is for the market to decide. However, the Financial Plan makes sure that we are at a place where we will be at least 80-90% prepared to meet the financial goal. Even if we are not ready 100%, we can manage the last 10-20% at the end from other sources. We can also over-perform our expectations. The exact speed and distance will only make a difference of 10-20%, i.e. under or above our expectations. However, if the entire direction or vehicle is wrong, we may be left far behind meeting the goal and may not be prepared when the time comes. With the Lazy Financial Plan, we make sure that we are in the right direction and we are prepared for most financial goals when the time comes, in a very structured way.

There will be times when the value of all our assets go down significantly and it becomes difficult for us to keep owning them, let alone investing additional money into it. It is in these times that we need to trust the plan, have faith and continue to follow it. This is an opportunity for us to buy assets at very cheap prices.Market prices have gone down numerous times in past but never have they stayed low. They always bounce back. It has worked historically and will work going ahead as well, it is the nature of the asset. Keep the faith and keep following the plan.

To improve the state of the other elements of RRTTLLU principle, we will have to make changes to the base plan as per the reality influences. Once we have done this, the next thing we will do is introduce other assets in the Lazy Financial to better suit our needs and make us more comfortable with the Lazy plan. These are the two last steps in the Lazy Financial Plan. With this, we will have created our Lazy Plan and we will be set to go. So, let us get started with other elements of Lazy Canvas.